

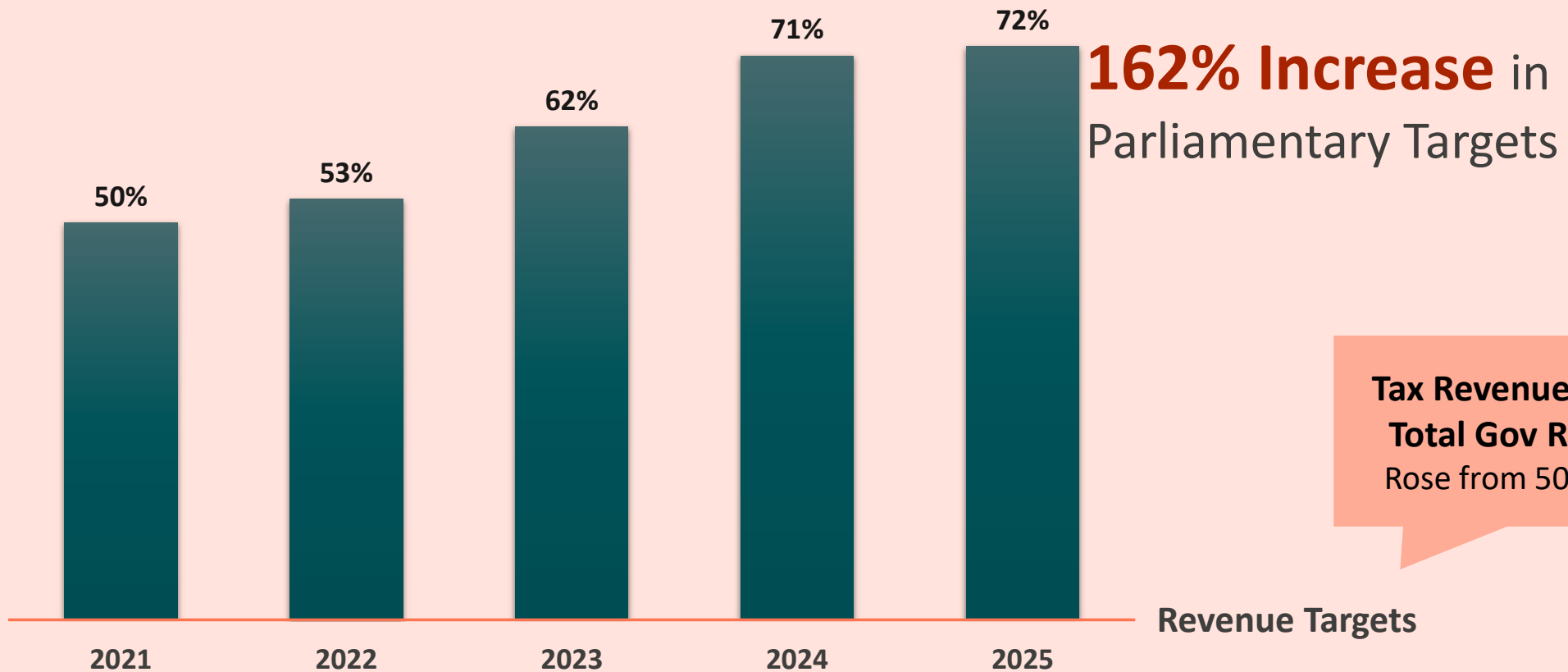


Institutionalising AI in Tax Administration

Lessons from the **Zambian Revenue Authority**

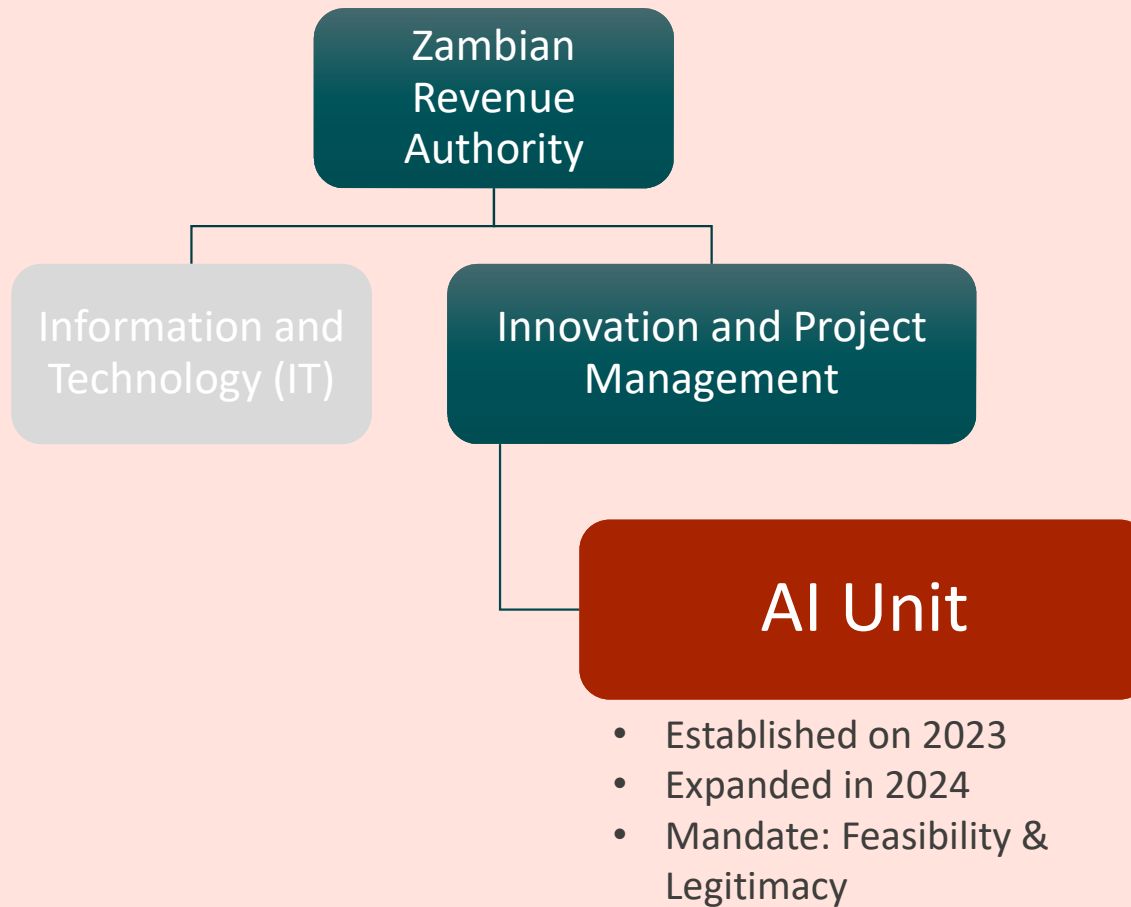
Awa Diouf

The Fiscal Imperative for Innovation



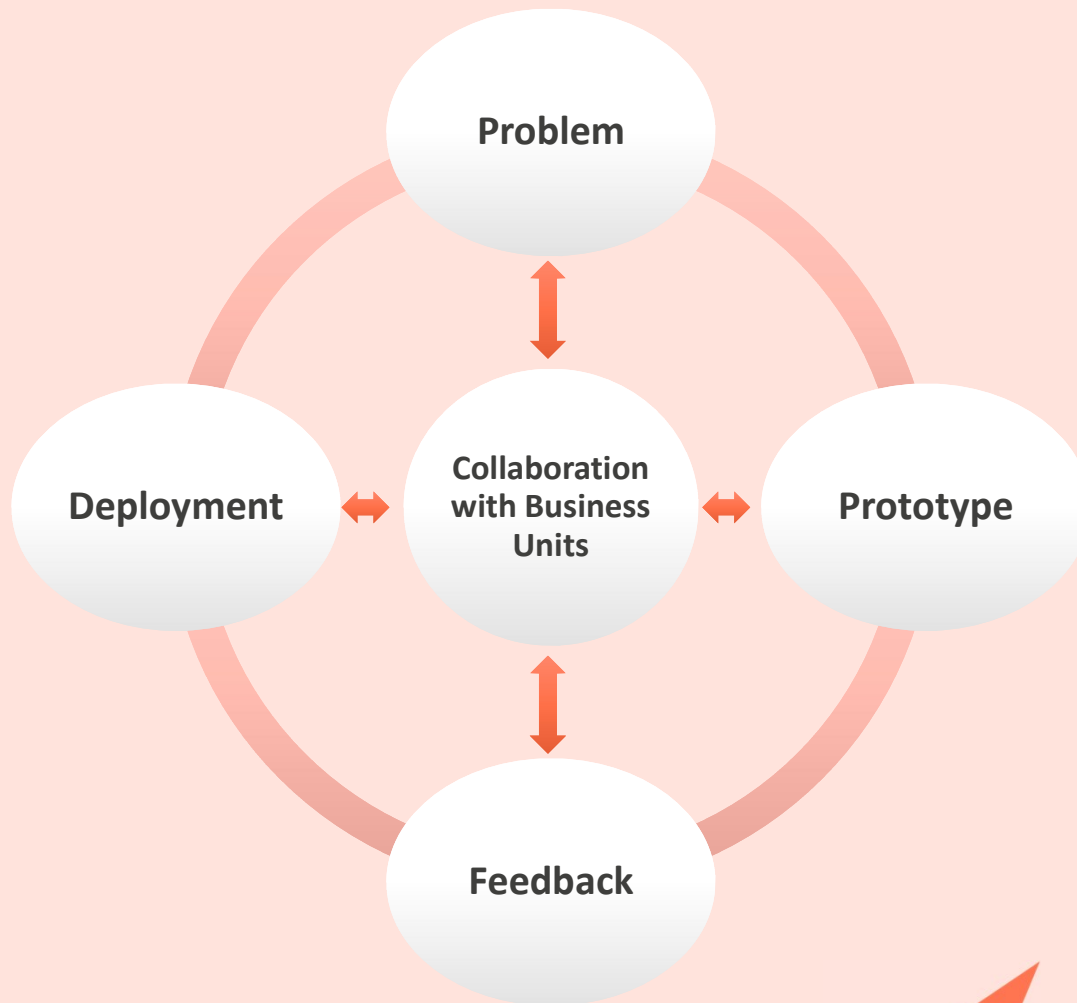
Advanced analytics became a necessity to bridge the gap between data volume and operational targets.

Establishing the AI Unit



Strategic Positioning:
Embedded in Innovation and Project Management not IT. This facilitate rapid prototyping and integration within ZRA projects

Relational Authority



The 'Pull' Strategy

The AI Unit does not force tools. It relies on persuading operational divisions of values to increase acceptance.

Its success lies on Departments voluntarily proposing project ideas.



Priority projects



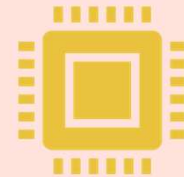
Taxpayer Services

The 'Zax' Chatbot internally developed to address immediate users needs.



Compliance

Behavioral nudging system segmenting taxpayers by compliance patterns for targeted interventions.



Operations

Customs support machine learning application to assist with classification to speed up process and fight against corruption.

Priority: Visibility and Feasibility over Complexity





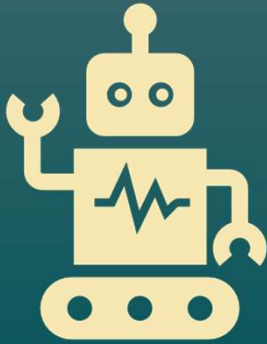
AI Usage by Tax Officials

Tax Officials are active users of generative AI tools for their daily tasks such as Reports, Data analysis, Research, etc.

AI as a **productivity-enhancing partner** rather than a substitute for their professional judgment

Contrast between the high confidence of technical staff and the caution of non-technical staff who require **institutional guidance**





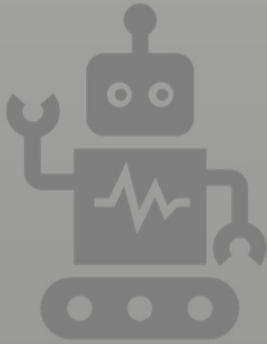
The Chat GPT Effect

Source: Commercial GenAI Tools

Perception: Instant, Effective, Universal

Result: Inflated expectations, Staff expect magic from AI

*« When people are confident about AI,
they are too confident. »*



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The AI Unit Effect

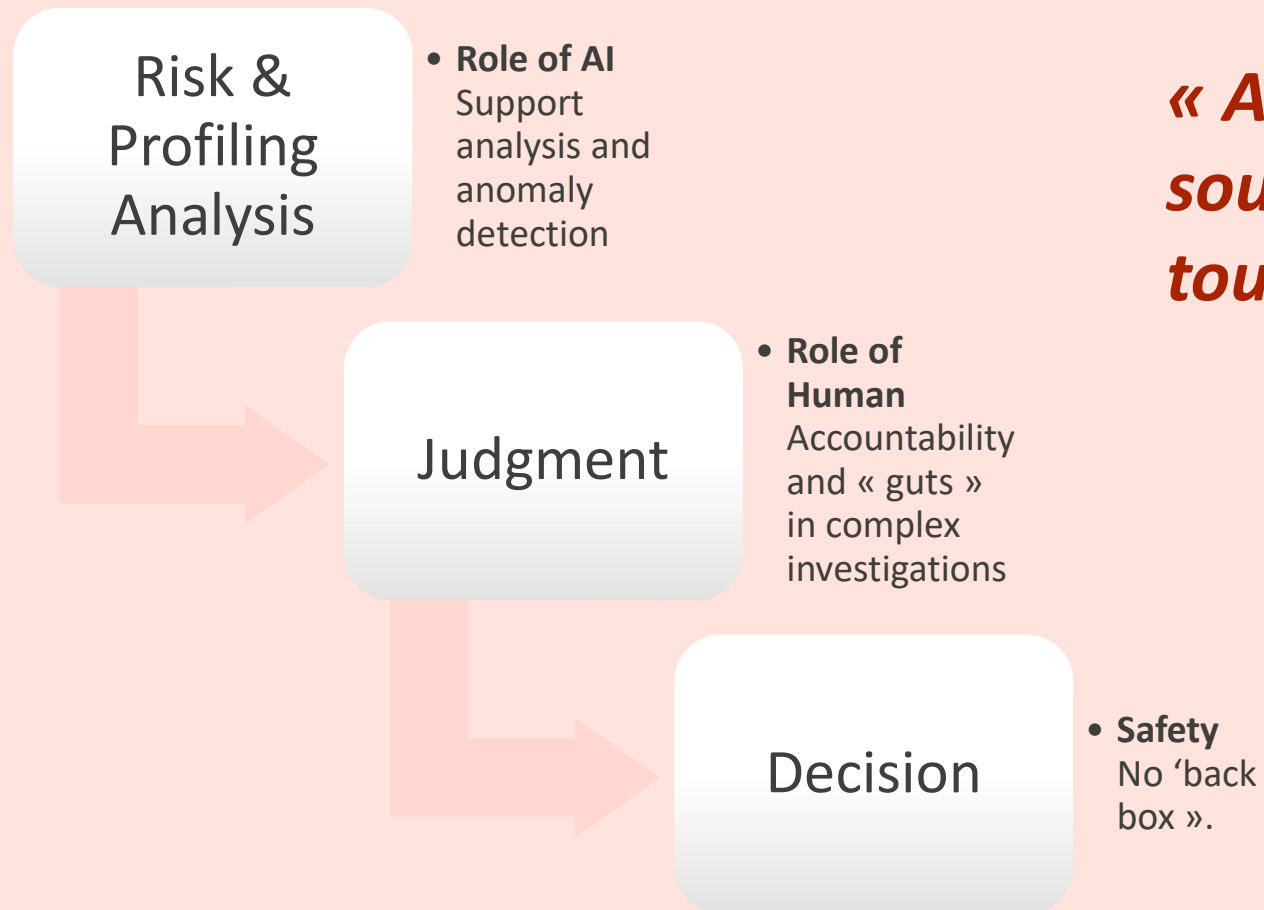
Source: Internal Pilot Project

Reality: Constraints in data quality, Resources, Skills

Result: Calibrated expectations

*« Adoption and perceptions depend on
expectation calibration »*

Complementary vs Substitutive



« AI outputs lack the soul that only a human touch can provide. »



Lessons for Tax Administrations

Manage	Manage expectations: Actively counter the 'Chap GPT' effect. Communicate data and budget constraints upfront.
Do	Experimental learning: Do not just lecture, make prototypes. Interactions with pilots ground expectations and increase acceptance and trust.
Train	Deployment must be paired with training so that non-technical staff don't feel left behind.
Embed	Institutional positioning: Embed AI in innovation/project structures for testing and Ensure human oversight to build trust.

Bridging Ambition and Reality



Success is not about buying the best software.
It is about calibrating expectations.

The future belongs to administrations that can bridge the gap between the “magic” of commercial AI and the reality of public sector data.

QUESTIONS & DISCUSSION